

principal profit in the case of a low-priced bond, as compared with a common stock, may be of only minor practical importance, because the profit actually *realized* by the common-stock buyer is ordinarily no greater than that obtainable from a speculative senior security. If, for example, we are considering a 4% bond selling at 35, its maximum possible price appreciation is about 70 points, or 200%. The average common-stock purchase at 35 cannot be held for a greater profit than this without a dangerous surrender to "bull-market psychology."

Two Viewpoints with Respect to Speculative Bonds. There are two directly opposite angles from which a speculative bond may be viewed. It may be considered in its relation to investment standards and yields, in which case the leading question is whether or not the low price and higher income return will compensate for the concession made in the safety factor. Or it may be thought of in terms of a common-stock commitment, in which event the contrary question arises; *viz.*, "Does the *smaller* risk of loss involved in this low-priced bond, as compared with a common stock, compensate for the smaller possibilities of profit?" The nearer a bond comes to meeting investment requirements—and the closer it sells to an investment price—the more likely are those interested to regard it from the investment viewpoint. The opposite approach is evidently suggested in the case of a bond in default or selling at an extremely low price. We are faced here with the familiar difficulty of classification arising from the absence of definite lines of demarcation. Some issues can always be found reflecting any conceivable status in the gamut between complete worthlessness and absolute safety.

Common-Stock Approach Preferable. We believe, however, that the sounder and more fruitful approach to the field of speculative senior securities lies from the direction of common stocks. This will carry with it a more thorough appreciation of the risk involved and therefore a greater insistence upon either reasonable assurance of safety or especially attractive possibilities of profit or both. It induces also—among intelligent security buyers at least—a more intensive examination of the corporate picture than would ordinarily be made in viewing a security from the investment angle.

Such an approach would be distinctly unfavorable to the purchase of slightly substandard bonds selling at moderate discounts from par. These, together with high-coupon bonds of second grade, belong in the